

WEEKLY MARKETS SUMMARY

Week of September 14–18, 2026

Global Markets Analysis · Nomad Capital · September 2026

FED FUNDS RATE —
WEDNESDAY'S DECISION**3.75%-4.00%**

First hike in 3 years, unanimous vote

BOJ —
TODAY'S DECISION**1.25%**

Fastest pace since 1990

DOW JONES —
WEEKLY CHG.**−1.69%**

52,573 → 51,683 pts

ARGENTINA GDP —
SECOND QUARTER**−0.6% q/q**

Sharp downside surprise (+0.2% exp.)

A week of central banks moving in cascade, with the Fed as the undisputed protagonist. The Federal Reserve raised its policy rate 25 basis points on Wednesday, to a range of 3.75%-4.00%, the first hike in three years and a unanimous vote despite Trump's public pressure on Warsh to cut rates ahead of the midterm elections. The post-decision relief was immediate — the VIX fell 9% and oil lost the \$100 mark — but short-lived: two days later the Bank of Japan raised its rate to 1.25%, the fastest pace of tightening since 1990, under pressure from Bessent, and the market closed the week with the Dow down 1.69% and Argentina's country risk at its highest level of the month. On the geopolitical front, the Houthi occupation of the port of Mocha threatens to replicate over Bab el-Mandeb the control Iran already exerts over the Strait of Hormuz, while U.S. diesel traded above six dollars a gallon. In Argentina, the government submitted the 2027 Budget assuming a peso at \$1,850 and 18% inflation, the same week INDEC confirmed a 0.6% GDP contraction in the second quarter, well below what was expected.

1. Timeline of the Week

WEEKLY TIMELINE

Mon 9/14

U.S. futures fall with the Nasdaq as the weakest reference, ahead of the Fed. August's core inflation surprised to the upside, and the market prices in roughly 87% odds of a 25-basis-point hike on Wednesday, with Warsh under pressure after having blocked a hike in July. Oil trades above \$100: the closure of the Saudi East-West pipeline following drone attacks threatens 4% of global supply, and U.S. diesel topped \$6 a gallon for the first time. The CEOs of Anthropic, OpenAI, xAI, and Google DeepMind call for slowing AI development, an unusual gesture among direct competitors; Asian tech and semiconductor stocks fall sharply. The Houthis occupy Mocha in Yemen, threatening to replicate over Bab el-Mandeb the control Iran exerts over Hormuz. Argentina: the government's FX intervention cools activity, with banks and consultancies sharply cutting their 2026 growth forecasts. The EMBI closes the prior Friday at 485 bps (-6 bps).

Tue 9/15

A bond selloff and rising oil on the Middle East escalation hit risk appetite ahead of the Fed. The 10-year Treasury yield rises to 5.022% (+6.1 bps), its highest level since 2007. The market now assigns 90% odds to a 25-basis-point hike tomorrow. Oil jumps more than 2% on fresh Houthi attacks on the Saudi pipeline and the partial closure of Hormuz. AI executives (Anthropic, OpenAI, SpaceX, Apple) warn of existential risks; OpenAI's IPO is postponed. China's factory output accelerates in August but retail sales cool. Milei submits the 2027 Budget to Congress; Argentina's country risk rises to 490 points ahead of the Fed's decision.

Wed 9/16

The 10-year Treasury touches 5%, its highest nominal level in nearly two decades, amid a heavy global bond and equity selloff ahead of the Fed. Brent tops \$107 after the closure of the Saudi pipeline. Washington and Beijing negotiate cutting tariffs on energy and agriculture ahead of the September 24 Trump-Xi summit. The BOJ eyes a 31-year high and the BOE faces inflation at five-month highs. Argentina submits the 2027 Budget assuming a peso at \$1,850 and 18% inflation, and country risk tops 500 points again. In the afternoon, the Fed raises rates 25 basis points to 3.75%-4.00%, the first hike in three years, unanimously; the dot plot projects the median rate rising to 4.1% this year from 3.8% previously, signaling a hiking cycle that isn't over. Argentina's EMBI closes at 510 bps (+4 bps).

Thu 9/17

Widespread post-Fed relief: U.S. futures rise sharply, the VIX plunges 9%, and Brent falls below \$100, in a session of simultaneous decompression of the two tensions that had dominated the week. The 10-year Treasury retreats to 4.99% from Wednesday's 19-year high. Brazil joins the monetary policy round as well: the Copom cuts the Selic to 13.75% the same day, with the post-election path still uncertain. August retail sales in the U.S. surprise with a 1.2% rise (vs. 0.8% expected), and the Atlanta Fed's GDPNow holds steady at 5.1%. INDEC confirms Argentina's GDP fell 0.6% in the second quarter, well below the +0.2% consensus expected.

Fri 9/18

The Bank of Japan raises its rate to 1.25%, its highest level in 31 years, at the fastest pace of tightening since 1990, under pressure from Bessent; the end of the cheap yen as the global carry trade's funding currency — which financed roughly ¥200 trillion (\$1.3 trillion) in leveraged positions at up to 50-to-1, according to the BIS — is one of the year's most underappreciated structural shifts. Oil falls for a third straight day (WTI below \$96) while diesel remains at records that worry the White House. The Trump-Xi summit approaches, with Washington weighing postponing new China tariffs until after 9/24. Russia begins its parliamentary election amid the war with Ukraine. In Argentina, country risk touches its monthly high of 515 points despite Wall Street's rebound, and the government confirms the second-quarter GDP contraction as the backdrop to the newly submitted 2027 Budget.

2. Weekly Asset Price Changes

Prior close: Friday 9/11. Reference close: Friday 9/18.

Asset	Close Fri 9/11	Close Fri 9/18	Weekly chg.
S&P 500	7,656.98	7,650.50	-0.08%
Nasdaq 100	29,368.44	29,644.17	+0.94%
Dow Jones	52,573.29	51,682.64	-1.69%
VIX	15.84	14.81	-6.50%
10-Yr UST	4.98%	5.00%	+2 bps
WTI (spot)	\$100.05	\$95.47	-4.58%
Gold (spot)	\$4,408.90	\$4,415.90	+0.16%
Bitcoin	\$77,267.82	\$81,199.99	+5.09%
EMBI Global (Argentina)	491 bps	515 bps*	+24 bps

Argentina local market	Close Fri 9/11	Close Fri 9/18	Weekly chg.
GD30D	\$0.5817	\$0.5761	-0.96%
GD35D	\$0.7955	\$0.7820	-1.70%
S&P Merval (ARS)	3,098,898.00	3,021,926.00	-2.48%
S&P Merval (USD MEP)	2,014.68	1,964.43	-2.49%
USD MEP (AL30)	\$1,538.16	\$1,538.32	+0.01%

* Argentina's EMBI reflects the last confirmed official close (Friday 9/18); JP Morgan publishes with a lag. GD30D, GD35D, and MEP verified on Balanz Productores at Friday 9/18's close.

3. Key Drivers of the Week

KEY DRIVERS

The Fed hikes for the first time in three years, unanimously, with a dot plot that keeps the cycle open

The FOMC brought the policy rate to 3.75%-4.00%, the first hike since 2023, in a unanimous decision despite Trump's public pressure on Warsh to cut rates ahead of the midterm elections. What mattered most wasn't the decision itself — the market had priced it at 90% odds — but the dot plot: the median rate projection for this year rose to 4.1% from 3.8%, signaling the committee sees room for at least one more hike. The unanimous vote, in contrast to the divided board Ades had anticipated on Monday, reinforced Warsh's institutional credibility at the worst possible moment to show any sign of weakness toward the White House.

The BOJ accelerates its hiking cycle and strains the global carry trade

The Bank of Japan brought its rate to 1.25%, its highest level in 31 years, at the fastest pace of tightening since 1990. The end of the cheap yen as a funding currency — which financed roughly ¥200 trillion (\$1.3 trillion) in leveraged positions at up to 50-to-1, according to the BIS — is one of the year's most underappreciated structural shifts. An abrupt unwind of those positions could amplify volatility across global bonds and equities, as it did in July-August 2024; it's worth watching speculative positioning in yen futures (CFTC) as an early warning signal.

The oil market remains trapped in a war of attrition with no exit catalyst in sight

JPMorgan admits that predicting the end of the U.S.-Israel-Iran war is "nearly impossible," with crude holding in the \$95-105 range all week and diesel at records already worrying the White House. The U.S. Navy's blockade capability in Hormuz has an expiration date — roughly six months, per sources cited by Ades — while Iranian-backed militias keep attacking Saudi infrastructure and the Houthis consolidate their occupation of Mocha, threatening to replicate that control over Bab el-Mandeb. Any further escalation could trigger a supply shock that equities, still relatively complacent, don't fully reflect.

Argentina: the 2027 Budget lands the same week GDP confirms a deeper-than-expected recession

The government submitted the 2027 Budget assuming a peso at \$1,850 and 18% inflation for next year, just hours before INDEC confirmed a 0.6% GDP contraction in the second quarter, well below the +0.2% consensus expected. The combination is awkward: a budget that assumes FX stability and sustained disinflation is presented at the exact moment the government's own FX intervention — as acknowledged by banks and consultancies that cut their growth forecasts — is cooling real activity more than anticipated. Country risk, which closed the week at its monthly high of 515 bps, appears to be starting to price in that tension between the nominal anchor and the real cycle.

4. Signals to Watch — Week of September 21–25

SIGNALS TO WATCH

Speculative positioning in yen futures following the BOJ hike

With cheap yen funding roughly \$1.3 trillion in leveraged positions according to the BIS, an abrupt carry-trade unwind — like the one in July-August 2024 — could amplify volatility across global bonds and equities. Worth tracking CFTC speculative positioning data as an early warning signal.

The September 24 Trump-Xi summit

Washington and Beijing are negotiating tariff cuts on energy and agriculture ahead of the meeting. A favorable outcome could ease some of the trade-driven inflationary pressure that has been complicating the Fed's job; a breakdown in talks would reinforce the higher-for-longer rate scenario.

Evolution of the Houthi occupation in Yemen and its impact on Bab el-Mandeb

With the Houthis consolidated in Mocha, the market will need to assess whether they can replicate over that strait the control Iran already exerts over Hormuz, which would leave two of the most critical energy shipping routes under simultaneous pressure.

Argentine bond market reaction to the 2027 Budget and the GDP data

With country risk at its monthly high and the Budget assuming FX stability that the second-quarter recession itself calls into question, the Treasury's next auction will be a relevant test of whether the market remains willing to finance the government on those terms.

This report is for informational purposes only and does not constitute investment, legal, or tax advice. Market data reflects closing prices and may differ from real-time quotes. Nomad Capital · CNV License No. 1073.